Union Budget 2026–27 Preview

Fiscal drag to end

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Union Budget FY27: Fiscal drag to end

The economy is bottoming out, but growth impulses are still weak. Tax cuts in 2025 are aiding select pockets of consumption, but anticipated spending cuts [to meet FY26 gross fiscal deficit (GFD) target of 4.4% of GDP] would limit gains in the broader economy. For FY27, monetary easing done so far must be complemented with fiscal support to enhance its effectiveness. Hence, while fiscal expansion is unlikely, we forecast the FM would refrain from further consolidation in FY27 (FD of 4.4% of GDP, same as FY26). Gross tax revenue (GTR) may increase 8% in FY27, enabling capex and development spending to grow in low/mid-teens versus single-digit in FY26. However, for a bigger growth push, the FM has to either rely on large disinvestments or nudge PSUs to expand capex (slow for years now). Beyond fiscal math, the FM may announce deregulation measures, credit-guarantee schemes, etc. to push growth.

As regards markets, acceleration in development spending/capex is welcome, but may be insufficient to stall the earnings downgrade cycle because margins are poised for mean reversion and external headwinds still loom large. Hence, unless there is a larger growth impulse, defensive bias is warranted. Tweaks on capital gains taxes could sway sentiments in the near term.

Macro backdrop: Economy bottoming out; policy support needed to sustain momentum

- The economy has slowed materially over the course of last year, seen in softer consumption and capex trends. Tax cuts have helped select pockets of consumption, but a broad-based revival is yet to be seen. Meanwhile, exports continue to linger in the slow lane.
- Against this, monetary policy has turned supportive, which is welcome, but a complementary fiscal support can go a long way in enhancing the effectiveness of monetary policy, as seen historically; especially when the global growth outlook is far from certain (see our 2026 Economic outlook).

FY26 fiscal math: Tax cuts and slower NGDP weigh on tax revenue

- We reckon shortfalls (versus budgeted) on both direct taxes (slower economy and weak capital gains) and indirect taxes (GST cuts, slower demand) to the tune of INR3tn. We envisage gross tax revenue (GTR) growing 4% in FY26 versus 13% projected in the budget.
- Since GFD target of 4.4% shall likely be maintained; we estimate total spending shall be lower by INR2tn with capex spend undershooting the budgeted by INR0.6tn and revenue spending by INR1.3tn. Overall total spending is likely to grow 5% versus 9% projected in the budget for FY26.

Union Budget FY27: Fiscal drag to end

FY27 fiscal policy: Fiscal drag to end

- Given that the economy needs policy support, we believe the government may abstain from further fiscal consolidation and retain the GFD target at 4.4% for FY27 (same as FY26). If so, the fiscal impulse would turn neutral from negative. In fact, the removal of GST cess shall add up to ~0.2% of GDP support to the economy.
- We project GTR shall grow ~8% YoY in FY27 (4% FY26NE), led by moderate acceleration in NGDP growth. Low base should also help. However, removal of cess will limit the upside. Adjusting for cess, the GTR may grow 11% versus 6% in FY26.
- Total spending may pick up to 10% YoY in FY27 (led by lower base and no further fiscal consolidation). Capex allocation may expand ~13% YoY (versus 1% in FY26E) while the development-oriented spending could rise 15% YoY versus 7% in FY26E.

Measures beyond fiscal math

- Capex boost may happen through extra-budgetary resources. Note that the PSU capex (percentage of GDP) has halved from pre-covid levels.
- A credit guarantee scheme for MFIs to support low-income borrowers may be on the cards.
- If FY26 was about boosting consumption through tax rationalisation, FY27 may be about supporting investment through deregulation and enhanced ease of doing business.
- Sectors in focus: Semiconductors, AI/Robotics, Exports.

Markets: Budget likely to be neutral from market's standpoint

- FY27 budget is likely to be somewhat growth supportive – a welcome change. However, the recovery is still likely to be modest and unlikely to stall the earnings downgrade cycle. We maintain that for FY27, margin mean reversion rather than top line remains key risk to earnings.
- The budget is unlikely to decisively support a particular sector. Hence, we continue to maintain a defensive bias.

Key OW: Telecom, Internet, IT, Consumer, Cement, Chemicals

Key UW: BFSI, Industrials, Autos, Power

FY26 Fiscal Math

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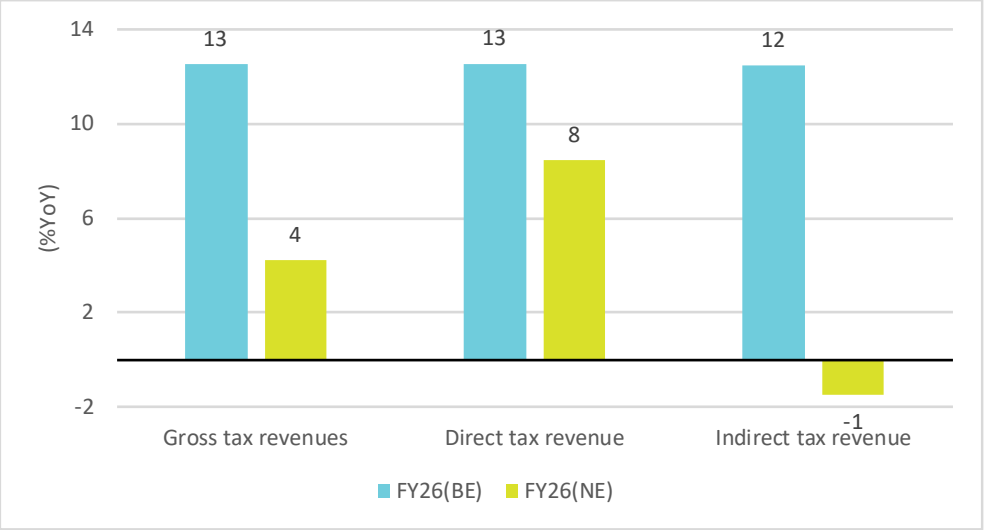
FY26: Significant shortfall in tax revenue

Tax revenues likely to undershoot by over INR3tn in FY26

Particulars	INR tn		
	FY26(BE)	FY26(NE)	Revenue difference
TOTAL REVENUES	***35.0***	***33.1***	***-1.9***
Tax revenue (net)	***28.4***	***26.3***	***-2.1***
Gross Tax revenue	***42.7***	***39.5***	***-3.2***
Gross Tax revenue (ex cess)	41.0	38.7	-2.3
Direct tax	24.4	23.5	-0.9
Indirect tax	18.3	16.0	-2.3
Central GST (ex compensation cess)	10.1	8.9	-1.2
GST compensation cess	1.7	0.8	-0.8
Others (Customs, Oil taxes, etc.)	6.5	6.2	-0.3
Less: Transfer to states	*14.3*	*13.3*	*-1.1*
Non-Tax Revenue	***6.6***	***6.8***	***0.2***

Tax revenue growth anticipated to undershoot the budgeted target



Source: CMIE, Nuvama research
Note: FY26 BE = Budget Estimates; FY26 NE = Nuvama Estimates

- In FY26, the GTR is likely to slow sharply to just 4% YoY (versus 13% YoY budgeted), mainly led by income tax and GST slab rationalisation. Furthermore, we forecast GTR shall undershoot budget estimates by ~INR3.2tn.
- Among this, the abolition of GST compensation cess (used to repay loans of states) would cause ~INR0.8tn shortfall while GST slab rationalisation shall likely lead to ~INR1.2tn shortfall. Rest shall be due to income tax cuts.
- Some of the tax shortfall shall be offset by higher dividend by the RBI, but expenditure cuts too are needed to meet fiscal deficit targets.

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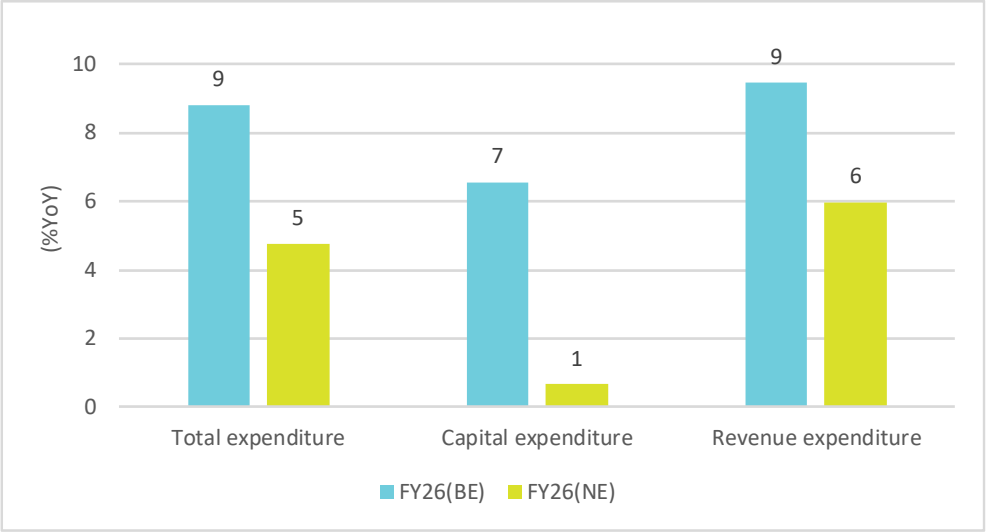
FY26: Expenditure likely to be slower than budgeted

Expenditure likely to undershoot by over INR1tn in FY26

Particulars	INR tn		
	FY26(BE)	FY26(NE)	Expenditure difference
TOTAL EXPENDITURE	***50.7***	***48.8***	***-1.9***
Revenue expenditure	***39.4***	***38.2***	***-1.3***
GST compensation cess	*1.7*	*0.8*	*-0.8*
Interest payments	*12.8*	*12.8*	*0.0*
Police, pensions and defence	*7.2*	*7.2*	*0.0*
Subsidies	*4.3*	*4.3*	*0.0*
Development revenue expenditure	*13.5*	*13.1*	*-0.4*
Capital expenditure	***11.2***	***10.6***	***-0.6***
FISCAL DEFICIT	***15.7***	***15.7***	
NOMINAL GDP	***357.0***	***357.1***	
FISCAL DEFICIT (% of GDP)	***4.4***	***4.4***	

Expenditure growth likely to undershoot budgeted growth



Source: CMIE, Nuvama research
Note: FY26 BE = Budget Estimates; FY26 NE = Nuvama Estimates

- We believe the FM would likely stick to GFD of 4.4% of GDP in FY26 despite net revenue shortfall of ~INR2tn, which would necessitate spending scale back to the tune of ~INR1tn (not counting compensation cess transfer, which anyway goes for loan repayments, not spending). The brunt of the spending cuts shall fall on revenue as well as capex.
- As a result, we forecast capex spend shall barely grow in FY26 (versus 7% growth budgeted). Meanwhile, development-oriented revenue spending shall increase 6% (versus 9% built in the budget).

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FY27 Fiscal Policy: Fiscal drag to end

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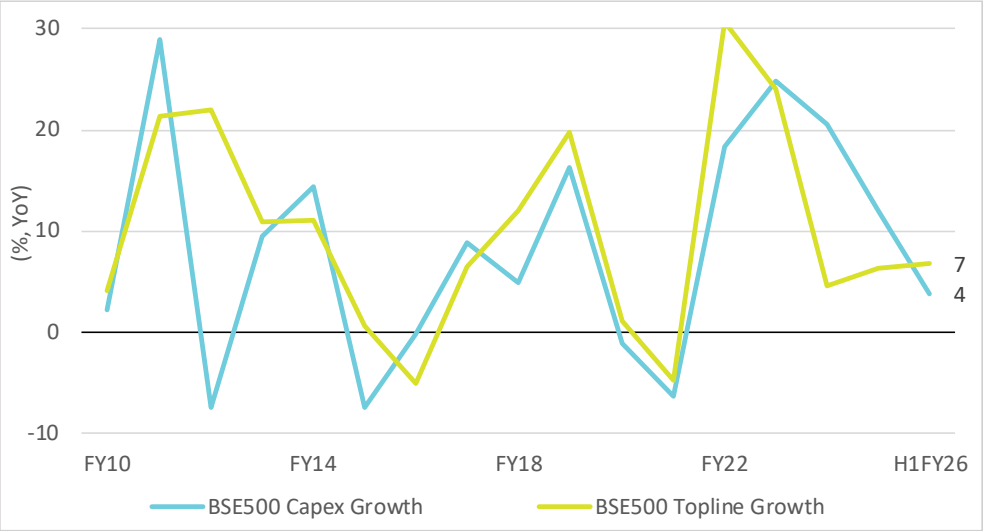
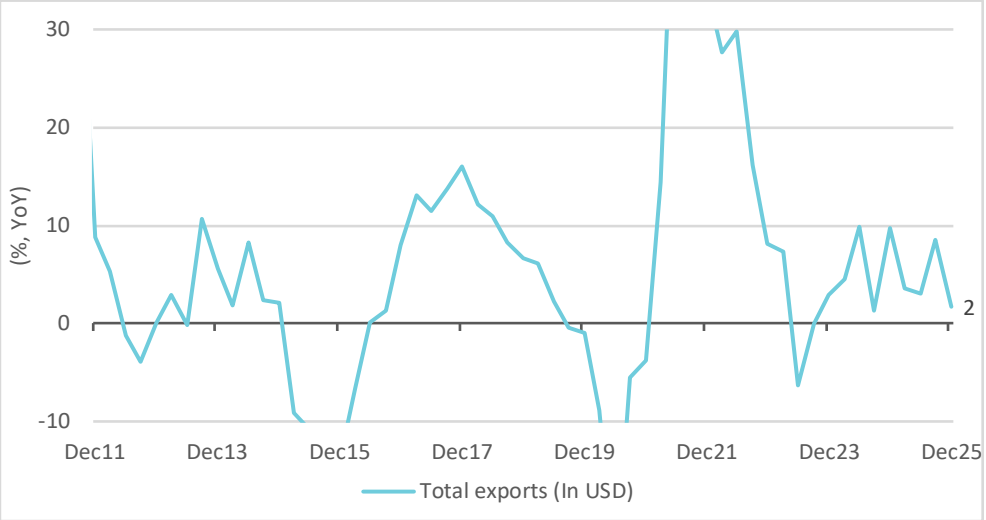
Macro backdrop: Economy bottoming out, but needs policy support

Income dynamic remains weak…

BSE500 capex too is moderating…



Export growth remains weak too…

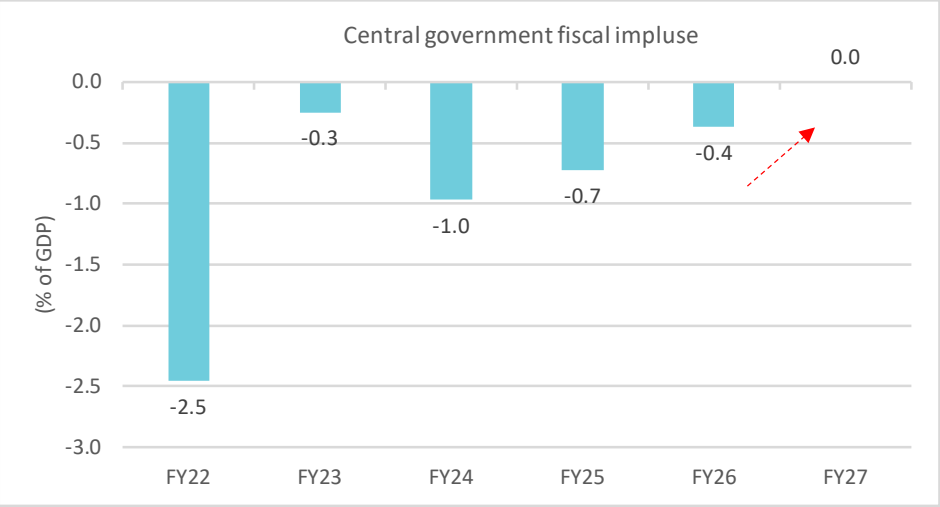


- The Union Budget FY27 is being prepared against weak income and profit dynamic of the HH and corporates. On the demand side, benefits of tax cuts are reported in select pockets of consumption, not yet in aggregate demand.
- Meanwhile, real estate and BSE 500 capex have slowed while exports sector continues to face headwinds.
- What is encouraging though is the monetary support and the pickup in bank credit growth, especially on the consumption side.

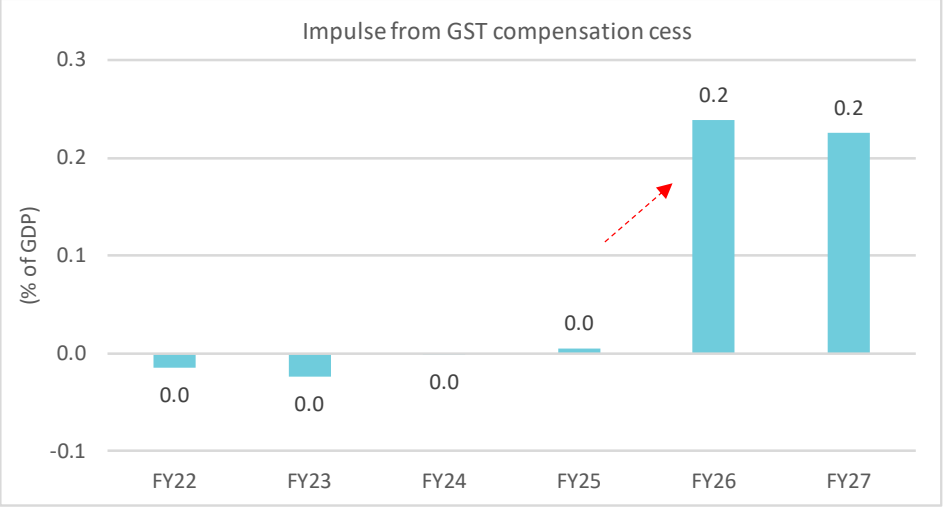
Source: CMIE, Nuvama Research;

FY27: GFD to be maintained at 4.4% of GDP

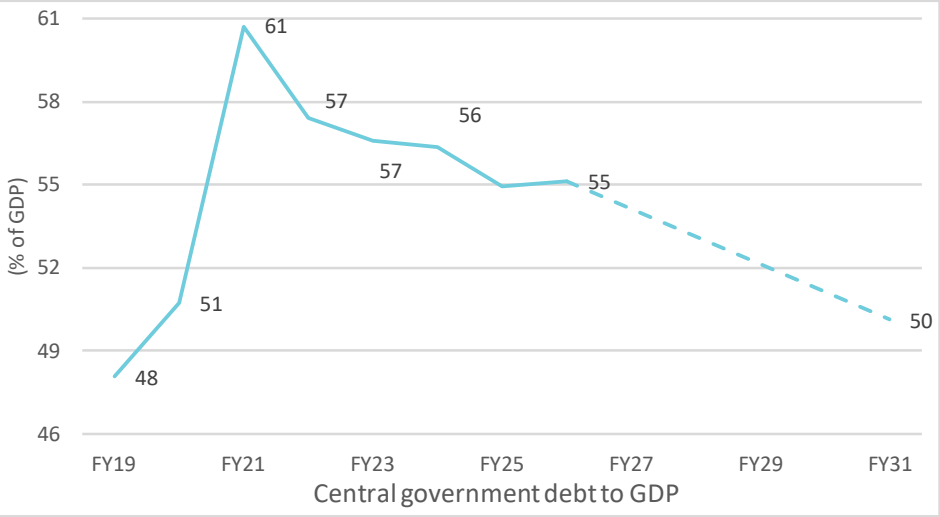
Fiscal drag anticipated to fade by FY27



Removal of compensation cess to be an added support



However, debt deleveraging is set to continue



- For FY27, we estimate central government shall peg the GFD of 4.4% of GDP for FY27, same as FY26. Essentially, after five years of continuous fiscal consolidation, expect fiscal drag to fade.
- Furthermore, removal of compensation cess shall be an added support in FY27 to the tune of ~0.2% of GDP versus FY26.
- That said, a big stimulus is unlikely as the exchequer remains committed to reducing the debt-to-GDP ratio by ~1% annually until FY31, implying a continued focus on deleveraging.

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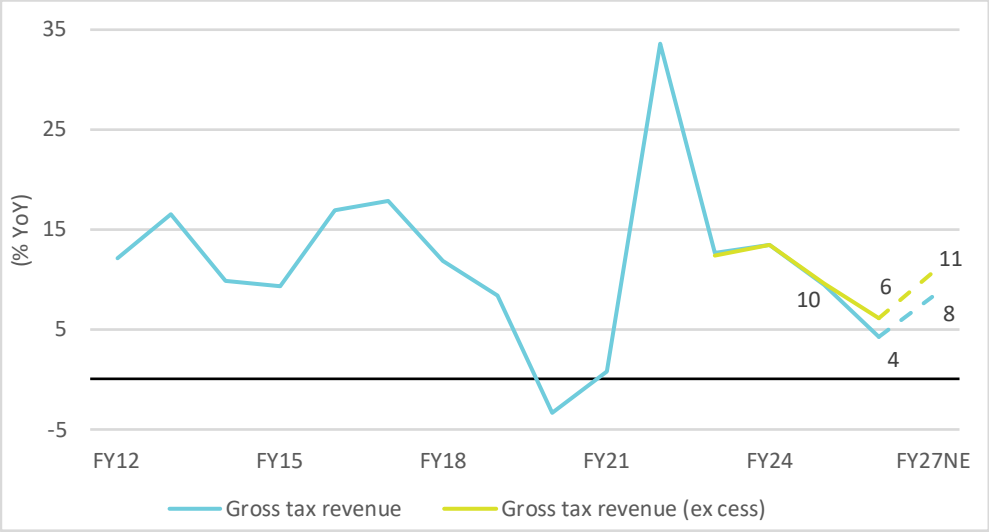
Source: CMIE, Nuvama Research; Note: FY27 is Nuvama estimate.

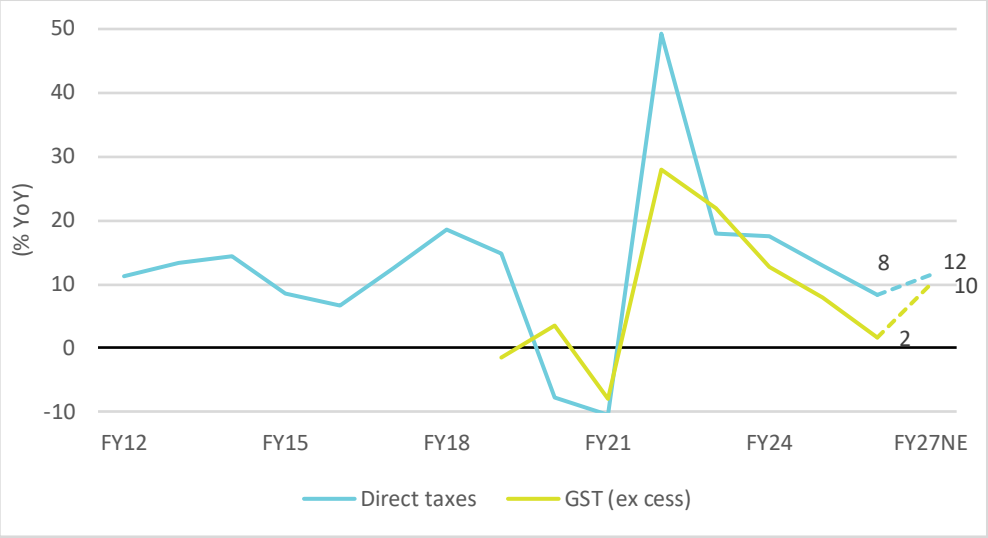
FY27 revenue: Modest bounce anticipated in tax revenue

Gross tax revenue likely to rebound marginally…



Source: CMIE, Budget documents, Nuvama research
Note: FY26 and FY27 are Nuvama estimates.

….as GST and direct tax collection normalize



Source: CMIE, Budget documents, Nuvama research
Note: FY26–FY27 are Nuvama estimates. GST data for FY19 pertains to Sep'18–Mar'19.

- For FY27, we reckon gross tax revenue (ex GST cess) shall bounce to 11% (versus 6% in FY26). The acceleration is premised on NGDP growth accelerating by 100–150bp to 9.5–10%, which should result in somewhat better tax buoyancy.
- The acceleration is likely to be logged by direct as well as indirect taxes. For direct taxes, we believe growth should be around 11–12% while for GST (ex-cess), we anticipate the growth shall be around 10% (despite tax cuts in six months).
- The overall gross tax revenue (including the compensation cess) is still likely to be around 8% YoY—lower than NGDP growth reflecting the effect of GST tax cuts and removal of compensation cess.

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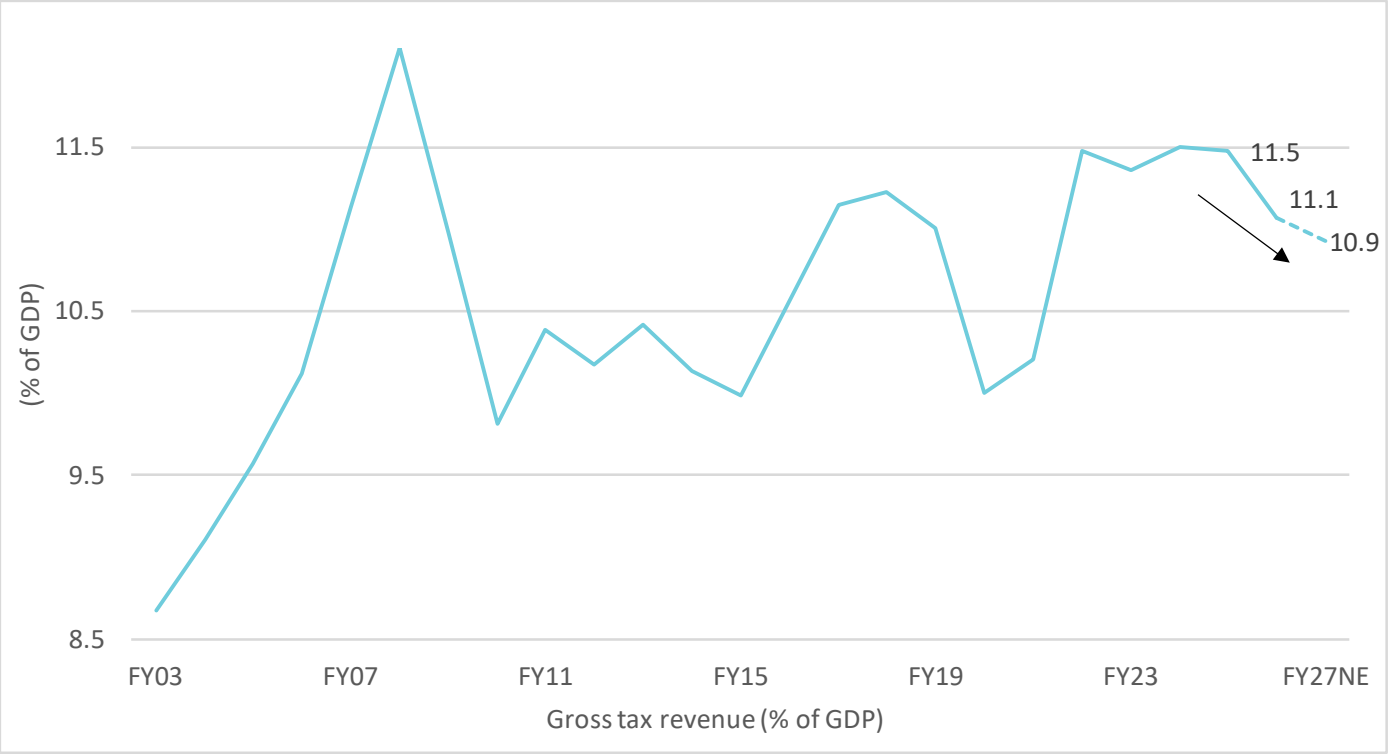
GTR as percentage of GDP hovering around 11% for a decade now

GTR as share of GDP flattish around 11% for almost a decade



Source: CMIE, Budget documents, Nuvama research; Note: FY26 and FY27 are Nuvama estimates.

- Governments' tax buoyancy reported a sharp rebound post-covid – reaching decadal highs.
- The combination of tax cuts and cyclical slowdown has led to tax revenue undershooting NGDP growth in FY26. In FY27 as well, this is likely to continue.
- As argued in our economy thematic (Of cycles, trend and hysteresis), slow NGDP growth hampers tax collections and debt deleveraging.

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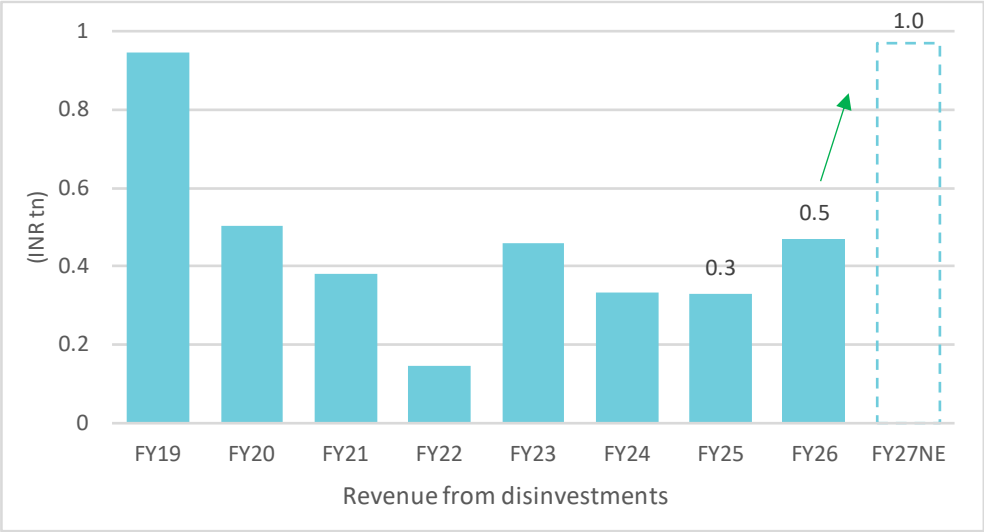
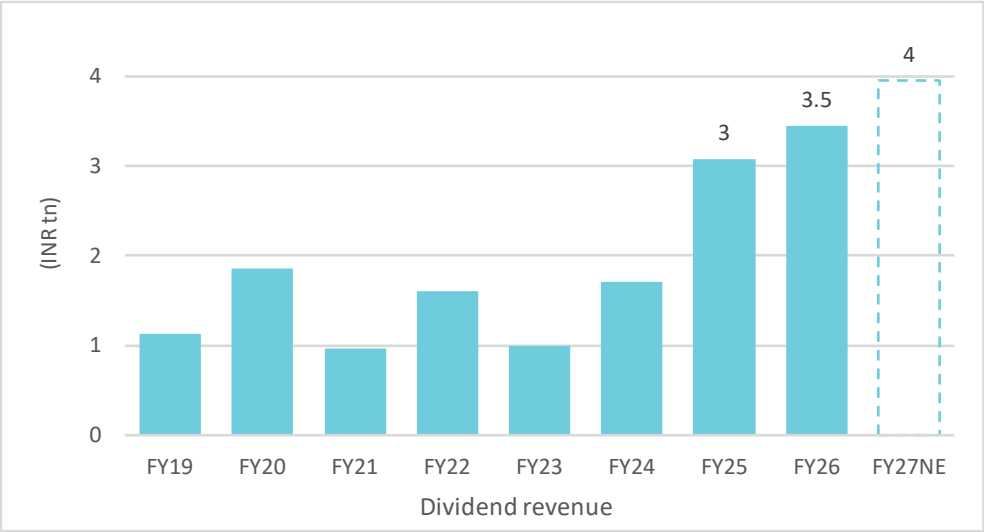
FY27 non-tax revenue: Disinvestment to ramp up

Disinvestment could see an uptick in FY27…



Source: CMIE, Budget documents, Nuvama research
Note: FY26 and FY27 are Nuvama estimates.

…while RBI dividend transfers are also likely to rise



Source: CMIE, Budget documents, Nuvama research
Note: FY26 and FY27 are Nuvama estimates.

- For FY27, we estimate FM shall target higher disinvestment receipts to the tune of ~INR1tn (possibly through stake sale in IDBI Bank and other measures) in order to create space for bigger capex push.
- Moreover, sustained dividends are likely from the RBI given the large FX interventions it has pursued last year.
- The total revenue receipts (tax + non-tax) shall increase 10% YoY in FY27.

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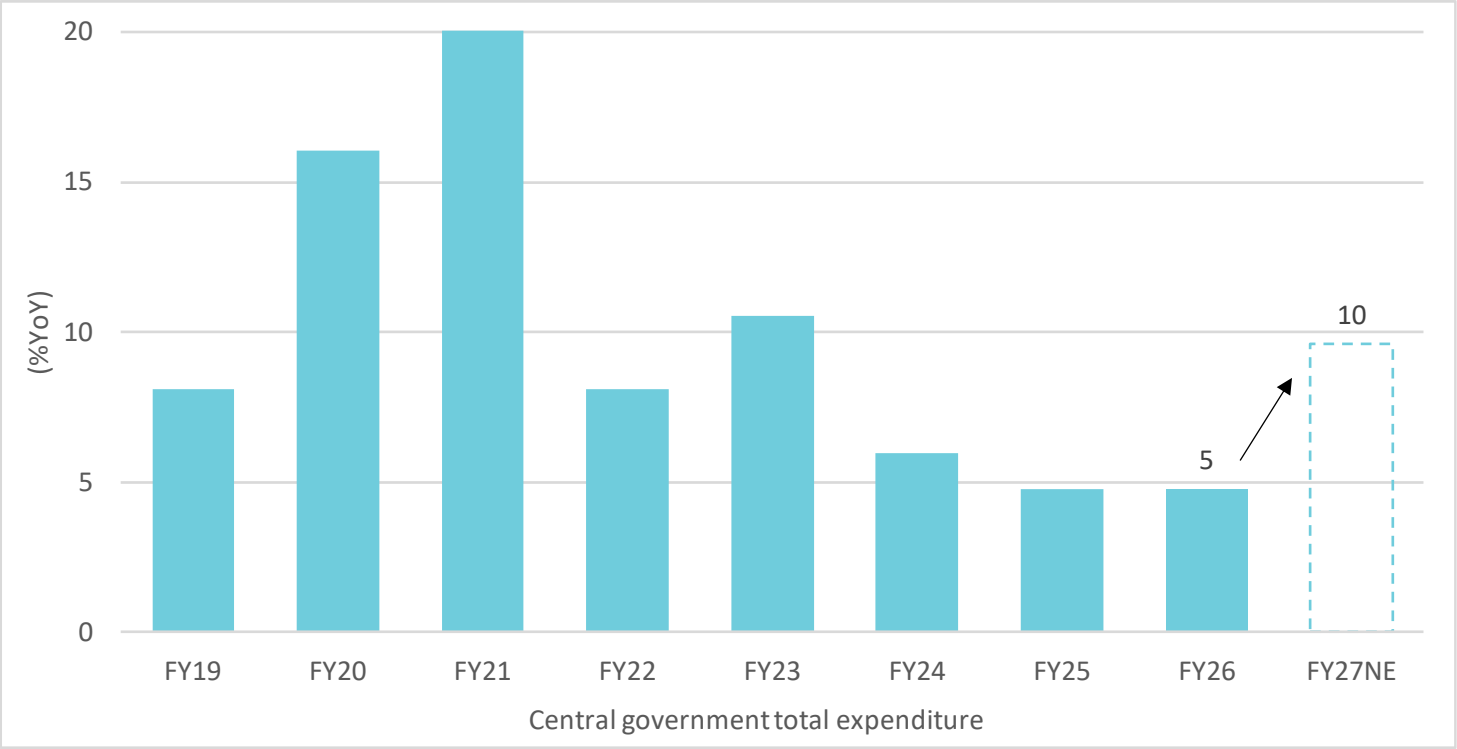
FY27 total expenditure: To pick up

Total expenditure likely to rise in line with NGDP growth



Source: CMIE, Budget documents, Nuvama research; Note: FY26 and FY27 are Nuvama estimates.

- The combination of a modest improvement in revenue receipts along with no further fiscal consolidation is likely to result in total expenditure growth accelerating to 10% YoY from 5% YoY for FY26E.

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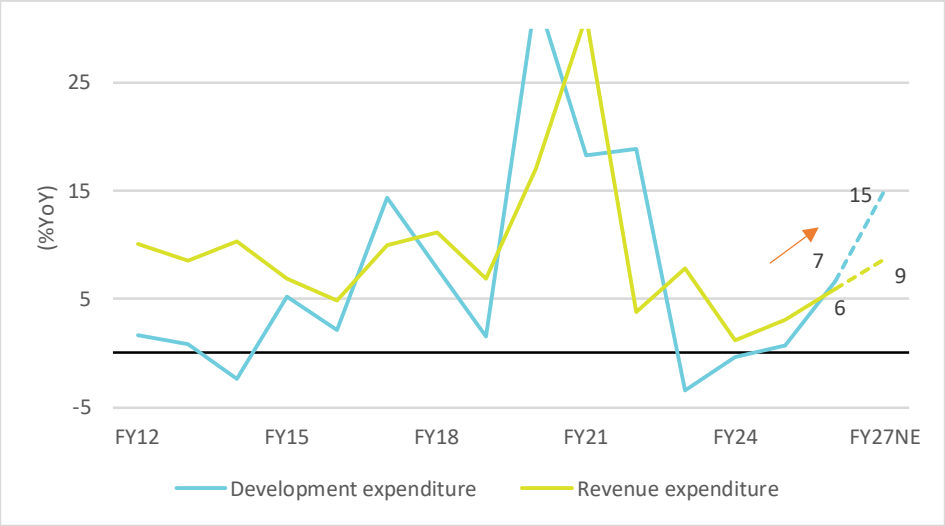
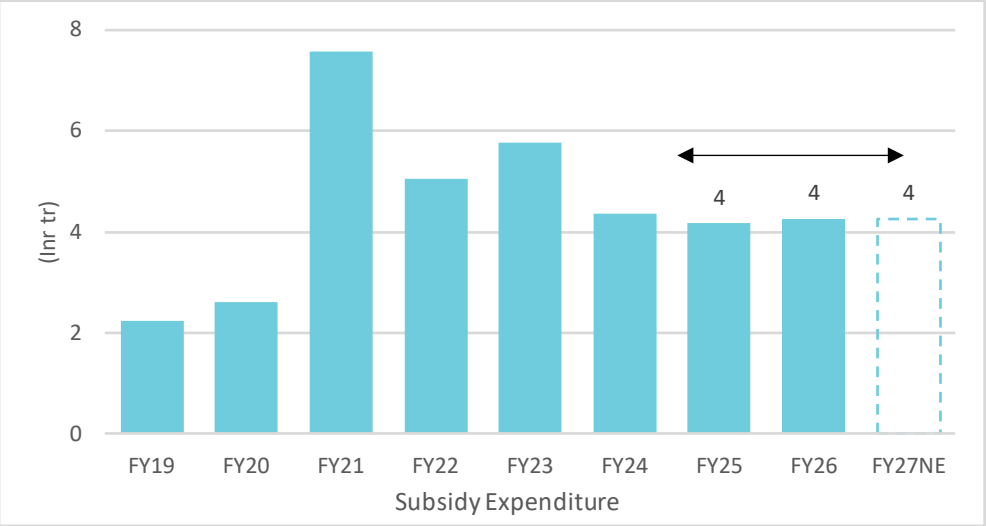
Revenue expenditure: Development spending to accelerate

Development expenditure anticipated to rise after remaining subdued



Source: CMIE, Nuvama research;
Note: Development expenditure excludes interest payments, subsidies, police, pensions, defence, and GST compensation cess.

Subsidy expenditure likely to remain largely steady



Source: CMIE, Nuvama research;
Note: FY26 and FY27 are Nuvama estimates.

- We estimate revenue expenditure growth in FY27 shall accelerate from 6% in FY26 to 9% in FY27.
- More importantly, we project development-oriented spending (health, education, rural transfers, etc.) shall expand by 15% versus 7% YoY expected in FY26.
- The space for ramping up development-oriented expenditure is likely to come from flat subsidy bill and a modest growth in police, pensions and defence.

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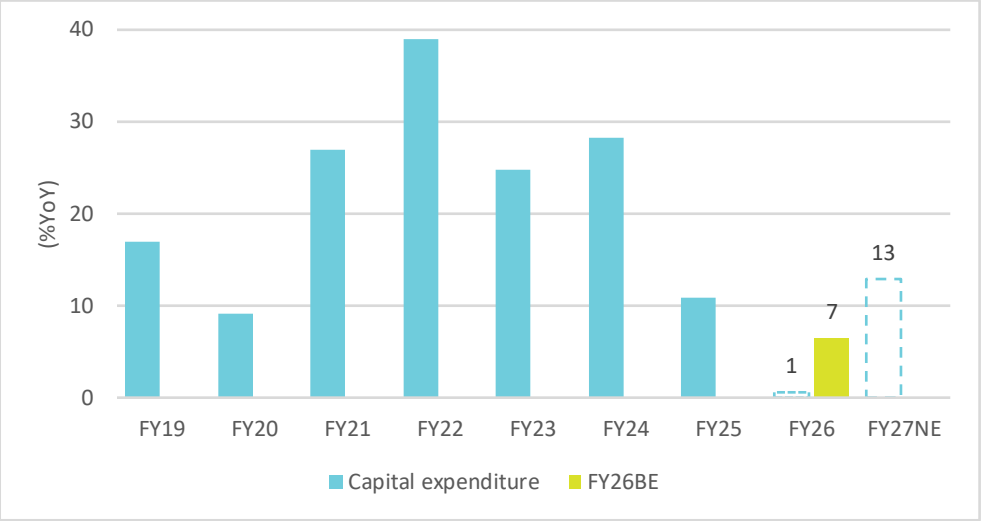
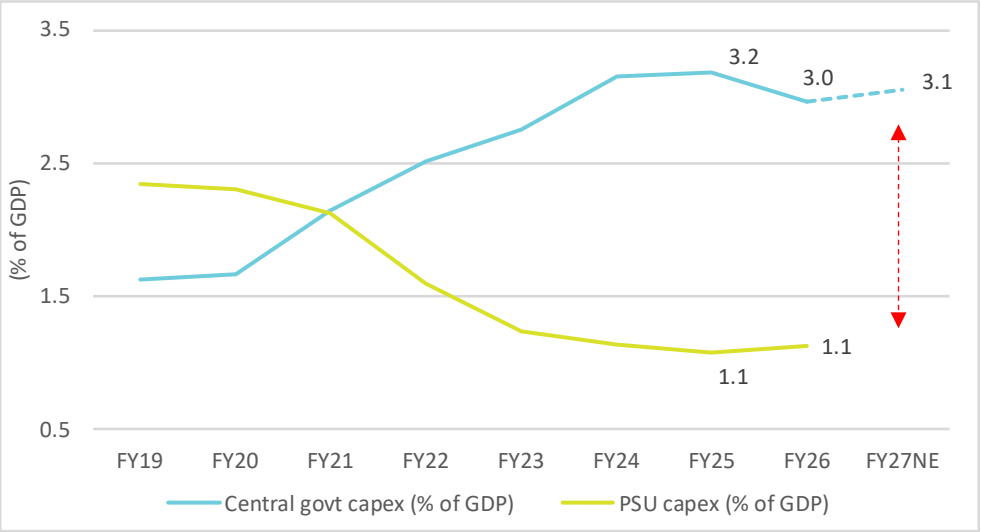
Capex: To improve over FY26; PSUs must also ramp up

Budget capex spend to grow faster in FY27 after weak FY26E



Source: CMIE, Nuvama research
Note: Dotted line represents Nuvama estimates.

...as central government capex increases while PSU capex decreases



Source: CMIE, Nuvama research
Note: FY26 and FY27 are Nuvama estimates

- Apart from the space for ramping up developmental revenue expenditure, capex growth of the central government too should accelerate by 13% to ~INR12tn.
- While this is welcome, we believe a bigger impetus on capex is needed to crowd-in the private sector.
- Here, given the fiscal constraints we believe PSUs (NHAI, Indian railways, Coal India, NTPC, etc.) need to do a lot more heavy lifting. After all, PSU capex to GDP has halved from pre-covid levels to just 1.1%. Given their strong balance sheets now, there is a lot more scope for these entities to pursue capex.

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Budget at a glance

Particulars	(INR trillion)					(% of GDP)				
	FY24	FY25(P)	FY26(BE)	FY26(NE)	FY27(NE)	FY24	FY25(P)	FY26(BE)	FY26(NE)	FY27(NE)
TOTAL REVENUES	***27.9***	***30.8***	***35.0***	***33.1***	***36.2***	***9.3***	***9.3***	***9.8***	***9.3***	***9.2***
Tax revenue (net)	***23.3***	***25.0***	***28.4***	***26.3***	***28.4***	***7.7***	***7.6***	***7.9***	***7.4***	***7.3***
Gross Tax revenue	34.7	38.0	42.7	39.5	42.8	11.5	11.5	12.0	11.1	10.9
Direct tax	19.2	21.7	24.4	23.5	26.2	6.4	6.6	6.8	6.6	6.7
Income tax	10.1	11.8	13.6	12.8	14.3	3.4	3.6	3.8	3.6	3.7
Corporate tax	9.1	9.9	10.8	10.7	11.9	3.0	3.0	3.0	3.0	3.0
Indirect tax	15.4	16.3	18.3	16.0	16.6	5.1	4.9	5.1	4.5	4.2
Central GST (ex compensation cess)	8.2	8.8	10.1	8.9	9.8	2.7	2.7	2.8	2.5	2.5
GST compensation cess	1.4	1.5	1.7	0.8	0.0	0.5	0.5	0.5	0.2	0.0
Others (Customs, Oil taxes, etc.)	5.9	5.9	6.5	6.2	6.7	1.9	1.8	1.8	1.7	1.7
Less: Transfer to states	*11.4*	*13.0*	*14.3*	*13.3*	*14.4*	3.8	3.9	4.0	3.7	3.7
Non-Tax Revenue	***4.6***	***5.8***	***6.6***	***6.8***	***7.8***	***1.5***	***1.8***	***1.8***	***1.9***	***2.0***
TOTAL EXPENDITURE	***44.4***	***46.6***	***50.7***	***48.8***	***53.5***	***14.8***	***14.1***	***14.2***	***13.7***	***13.6***
Revenue expenditure	***34.9***	***36.0***	***39.4***	***38.2***	***41.5***	***11.6***	***10.9***	***11.0***	***10.7***	***10.6***
GST compensation cess	*1.4*	*1.5*	*1.7*	*0.8*	*0.0*	0.5	0.5	0.5	0.2	0.0
Interest payments	*10.6*	*11.2*	*12.8*	*12.8*	*14.7*	3.5	3.4	3.6	3.6	3.7
Police, pensions and defence	*6.3*	*6.9*	*7.2*	*7.2*	*7.5*	2.1	2.1	2.0	2.0	1.9
Subsidies	*4.3*	*4.2*	*4.3*	*4.3*	*4.3*	1.4	1.3	1.2	1.2	1.1
Development revenue expenditure	*12.2*	*12.3*	*13.5*	*13.1*	*15.1*	4.0	3.7	3.8	3.7	3.8
Capital expenditure	***9.5***	***10.5***	***11.2***	***10.6***	***12.0***	***3.2***	***3.2***	***3.1***	***3.0***	***3.1***
FISCAL DEFICIT	***16.5***	***15.8***	***15.7***	***15.7***	***17.2***	***5.5***	***4.8***	***4.4***	***4.4***	***4.4***
NOMINAL GDP	***301.2***	***330.7***	***357.0***	***357.1***	***391.8***					

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Source: CMIE, Nuvama research

Note: BE = Budget Estimates; NE = Nuvama Estimates

Beyond fiscal math: Likely measures and announcements

Overall, we believe after many years of negative fiscal impulse, FY27 may see neutral to marginally positive fiscal impulse. We believe key highlights beyond the fiscal math are likely to be:

- **Disinvestments to get fresh impetus**: With stake sales of a couple of entities on the radar along with scope to reduce stake in PSU financial entities, we believe the budget may focus on disinvestments.
- **PSUs need to ramp up capex:** We believe the economy warrants a lot more support to engineer a sustained recovery. In order to achieve the same, it is important that PSUs too pursue capex more aggressively.
- **AI, technology and defence could be focus:** Today, the global order is changing with self-reliance now being a necessity. Hence, to bolster the same, we expect the government to announce measures to incentivise investments.
- **Deregulation focus to continue:** This has been a big focus area for the government over the last couple of years. We reckon this shall continue in FY27 with efforts to simplify custom duties and tax filings.
- **Manufacturing focus to continue:** A continued emphasis on the manufacturing sector is likely, with the flagship PLI scheme possibly extended to additional and emerging areas such as AI, robotics, space, medical equipment, etc.
- **Credit guarantee for MFIs to support lower-end segments:** To help NBFC-MFIs raise funds more easily from banks and support continued lending to low-income borrowers.

Markets: Budget likely to be neutral from market's standpoint

- From a market standpoint, we expect the budget to be marginally supportive on the growth front as compared to the last year when fiscal consolidation was the key priority.
- This should help engineer a modest top-line recovery for India Inc. However, as argued in our 2026 Outlook – Reconciliation and resets, the main worry for earnings is the potential contraction in the current decadal high margins as competitive intensity rises across sectors.
- In order to retain the current high profitability, it is important that the top line recovers sharply, which seems difficult. Hence, we forecast the earnings downgrade cycle shall continue in FY26 as well.
- On the sectoral front, a bit of spending acceleration on defence, consumption and capex are all likely and thus there is unlikely to be a big sector theme.
- Overall, we maintain that 2026 is likely to be a volatile year with potential resets on margins and valuations. FY27 budget is unlikely to change our view materially. Thus, we maintain a defensive bias in our portfolio.

Key OW: Telecom, Internet, IT, Consumer, Cement, Chemicals

Key UW: BFSI, Autos, Industrials, Power

Sector Highlights

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Sector highlights

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Agri- Fertilisers	Fertiliser subsidy to be raised YoY as raw material prices such as Phosphoric acid and sulphur are up.	Subsidy likely to be between INR1.7tn and INR2.0tn.	Positive
Agriculture	Allocate ~INR1.5tn to agriculture ministry to continue PM KISAN and insurance schemes.	Owing to crop losses due to erratic weather last year, crop insurance can see higher allocation.	Neutral

Sector highlights (contd.)

Sector	Industry/market wish list	Nuvama expectations	Impact on sector/company
Defence	Defence capital outlay expected to grow in double digit on modernisation drive (new reforms anticipated), larger programmes in pipeline to materialise in FY27, iDEX (focusing on start-ups for tech), etc, as focus on indigenisation/modernisation and exports ramp-up persists.	Defence capex is anticipated to grow ~8% YoY with higher allocation towards R&D, UAV/drones, anti-drone systems etc. The incremental budget will be sought in the backdrop of Operation Sindoor as well as some key large programmes in pipeline (QRSAM, P-75I, Pinaka, etc) are likely to materialise, skewed towards Air Force and Navy.	The likely FY27 defence budget hike shall be structurally positive, accelerating the shift towards execution-led earnings. Stock selection remains critical with preference for players offering faster execution, higher localisation and superior cash conversion rather than headline order book growth alone.
Railways	Being a core pillar of India's infrastructure build-out and on track to fully utilise its allocated capex by year-end, the railways sector expects enhanced budgetary allocation toward its capital expenditure to support India's long-term plans.	We expect railways capex to log incremental budget allocation after three years of relatively muted growth with mix shifting toward capacity augmentation, rolling stock induction, and safety works. The broader policy objective remains lowering logistics costs and improving competitiveness; as while India's logistics costs have improved, they are still above the ~6–7% typical of advanced economies.	Positive for players across the spectrum ranging from consultancies to project players and to equipment suppliers.
Others	Push towards battery/nuclear and hence grid expansion/stability remains top-notch priority. Capex in new-age segments such as data centres, EVs, multi-modal warehouses, electronics, etc. would pick up pace led by GoI's incentives etc to private sector.	We expect strong qualitative as well as quantitative commentary by GoI to push for power demand base load servicing as well as incentives to boost broad-based private sector participation.	Power T&D stocks to be in focus along with private-capex led stocks tracking positive commentary on announcement of PLI/broad based incentives

Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Consumer Durables	Focus on policies that boost domestic demand and consumption (through tax/GST support, income growth). Continued push for Make in India to expand local manufacturing. GST reforms or simplification to reduce costs and improve competitiveness.	Demand outlook to remain closely linked to urban & rural consumption trends, inflation trajectory, and overall macro stability. In the absence of direct fiscal stimulus or meaningful tax relief, sector growth is likely to stay steady but not sharply accelerated.	Limited near-term upside unless the Budget meaningfully boosts disposable incomes subject to other environmental factors directly the demand in the industry.
EMS / Electronics Manufacturing Services	Customs duty rationalisation and tariff reforms to reduce input costs for electronics production. Extend or expand PLI / incentive schemes (continuity, faster payouts) for electronics and related manufacturing. Increased budgetary allocation for Electronic Component Manufacturing Scheme (ECMS) to strengthen local component production. Policy support to deepen India's electronics supply chain and exports.	EMS and electronics manufacturing remain priority sectors for the government. Expect policy continuity, incremental tariff rationalisation, and supportive capex signalling, leading to positive structural tailwinds.	New schemes or any favourable changes in PLIs will be positive for EMS sector. Improved duty structure and ecosystem support could enhance margin visibility and scale-up.

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Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Consumer Goods	Rural initiatives on income generation.	We expect this budget to focus on putting more money in the hands of rural and low income group people.	Positive for overall consumption, especially for companies with higher rural exposure.
	Additional rural schemes similar to MNREGA, MSP hikes, etc.	We estimate clear rural-focused budget and any announcements on these lines cannot be ruled out.	Positive for overall consumption, especially for companies with higher rural exposure.
	No hike in taxes on cigarettes	Cigarette taxes are already hiked and we do not expect further tax hikes.	Neutral
	Smart Cities and Housing for All allocations to be increased.	We forecast more clarity and higher investments in Housing for All initiative and budgets for Smart Cities to be increased post-relaxation in built-up area and FDI requirements.	Positive for paint companies such as Asian Paints and Berger Paints along with Pidilite Industries.

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Hospitality	Grant infrastructure status for easier, cheaper financing.	Unlikely	Positive
	A call for GST reform and reinstating ITC to improve affordability and competitiveness.	Unlikely	Positive
	Zero GST or GST refunds for foreign tourists could elevate inbound tourism and global competitiveness.	Unlikely	Positive for entire sector, especially upper upscale and above segment.

Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Infrastructure	Maintain/modestly raise MoRTH capex from FY26 base INR2.87tn; keep NHAI borrowings minimal, rely on GBS + monetisation.	Expect budget allocation to remain flat YoY.	Higher budgetary allocation vital for healthy order inflows.
	Aggressive asset monetisation via TOT/InvIT (INR350-400bn potential seen for FY26; carry momentum into FY27).	Likely	Positive as this would free up more cash with NHAI to award projects.
	Keep GBS range-bound around FY26 INR2.52–2.65tn, but re-weight to safety (Kavach), decongestion (track doubling, DFC), station redevelopment, and NHSRCL (bullet train).	Likely	Continued focus on railway sector augurs well for industry.

Sector	Industry/market wishlist	Nuvama Expectations	Impact on sector/company
Insurance	Deduction under section 80CCD (1B) to also include contributions to pension schemes of life insurance companies to provide a level playing field versus NPS.	Unlikely	Postive for life insurance companies.
Insurance	Separate section/bracket of deduction for payments made towards term insurance to promote term inusurance as section 80C has lot of investment alternatives.	Unlikely	Postive for life insurance companies.
Insurance	Merger of four public general insuarnce companies - Oriental Insurance, National Insurance, United India Insurance and The New India Assurance Company Limited.	Unlikely	Positive for general Insurance companies.

Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Media	Increase in rural consumption to drive ad spends.	Increase in rural consumption is likely to drive ad spends by consumer companies.	Postive for media companies

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Oil & Gas	Provisioning for subsidies on LPG	As on end-H1FY26, OMCs LPG under-recoveries rose to ~INR537bn, whereas the government has announced LPG compensation of only INR300bn to be disbursed on a monthly basis. We do not expect any incremental LPG subsidy since the compensation is provided on an ad-hoc basis.	Neagtive for OMCs.
Oil & Gas	Bringing crude oil, naural gas and petroleum products under GST.	Crude oil, natural gas and other petroleum products are currently subject to excise duty and VAT. There is a possibility these products could be bought under the GST regime.	Positive for the O&G sector, as it makes the whole system efficient and beneficial for all stakeholders.
Oil & Gas	Reforms in CGD sector to boost gas consumption.	Implement reforms for city gas distribution (CGD) players to boost consumption of natural gas in the country.	Positive for sector as the rise in consumption of natural gas shall boost volumes for CGD entities.
New Energy	Energy transition.	Allocation of funds towards energy transition and net zero-emission objectives for OMCs.	Positive for OMCs. However, amount allocated remains a key monitorable.
New Energy	Mandatory use of Green Energy for various sectors.	Mandates for use of green hydrogen, ammonia and methanol in sectors such as fertilisers, chemicals, steel, refineries, etc. Government could also implement blending green methanol with petrol, in transportation and other applicable sectors, supported by incentives for producers and consumers to adopt this fuel.	Positive for players in solar module chain, EPC players, OMCs, etc.

Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Pharma/ Healthcare	To ramp up expenditure in healthcare towards 2.5%–3% of GDP.	(Growing at 7–8% for last five years, should grow at the same rate) — Could be high given CGHS price hikes and Ayushman Bharat expansion.	Positive for the sector
	Further enhance the Ayushman Bharat scheme by increasing budget allocation to expand list of treatments, illnesses covered and include more private hospitals in the network for better accessibility.	Likely to broaden the scope of this scheme.	Negative for private hospitals as they may be forced to treat patients at lower prices, thus affecting their ARPOBs and in turn profitability.
	Increased budget allocation for R&D in genomics, biotechnology and AI-driven diagnostics.	Less likely as companies have already invested in the innovation without major support.	Positive for the sector
	Increase in expansion of PLI scheme to include investments in APIs reliant on imported starting materials and critical raw materials.	Less likely as the government has already ensured domestic manufacturing scheme for critical antibiotics.	Positive for the sector

Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Real estate	Cap on deduction towards interest in home loan paid u/s 24(b) on self-occupied properrty to increase from INR0.2mn to INR0.3-0.5mn.	Likely	Positive as it will boost demand in the affordable and the mid-income housing segment.
	Time limit and deduction amount u/s 80EEA to be expanded	Unlikely	If implemented, affordable segment sales should get a fillip.
	Redefine 'affordable' in terms of price band or unit size to attract reduced 1% GST rate on sale of under-construction property.	Likely	The change would provide stimulus to hosuing demand.

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Retail	Increase disposable income through income tax reforms.	Unlikely	Positive for the sector as there would be a spurt in consumption with increasing disposable income.
	The industry wants government to address the inverted duty structure, where input services (such as rent, advertising, and logistics) are taxed at 18% GST while some finished goods (such as apparel up to INR2,500) are at 5%.	Unlikely	Positive as it could free up working capital.
Jewellery	The all-India Gem and Jewellery Domestic Council (GJC) has urged government to rationalise the Goods and Services Tax (GST) on gold and silver jewellery from current 3% to 1.25%.	Unlikely	Positive for sector

Sector highlights (contd.)

Sector	Industry/market wishlist	Nuvama expectations	Impact on sector/company
Power	Renewable purchase obligations (RPO) compliance norms.	GoI may Introduce tighter RPO compliance norms in budget with higher mandatory renewable purchase targets and stronger enforcement measures for obligated entities.	Stringent norms, which force compliance, are needed to escalate the issue of unsold renewable power. RPO compliance is needed to create a green economy. **Beneficiaries: RE Gencos.**
Power	Amendments to Electricity Act.	GoI may announce some supportive policy measures to support discom balance sheets along with measures/framework for discom privatisation.	GoI may support discoms through a bailout/debt (interest free) package. Furthermore, to provide a thrust on privatisation of lossmaking distribution circles, GoI may come out with additional measures/frameworks to speed up the process. **Beneficiaries: Distribution companies - TPWR, Torrent Power, CESC, Adani Power.**
Power	Focus on energy storage technology and RE supply.	GOI may introduce additional measures for energy storage technology and RE energy supply .	GoI may focus on smart grids, flexible transmission networks and energy storage systems, which shall address energy security and material sustainability concerns. There is also potential for incentives linked to pumped storage projects (PSP) and distributed energy storage. **Beneficiaries: JSW Energy, TPWR, NTPC, NHPC.**
Power	Extend tax breaks and green incentives to nuclear power projects.	GoI may announce some supportive policy measures to place nuclear power on a par with renewable energy and give nuclear projects access to green financing and remove it from CPCB's red category.	With nuclear power now opening up to private players through SHANTI bill, amendments to reduce GST for ongoing and upcoming nuclear projects, inclusion in national green taxonomy and removal from CPCB's 'red' category of high environmental risk is likely in Budget. **Beneficiaries: EPC companies: L&T, BHEL. Generator: NTPC.**

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